

6. Janus Redux

It's ironic that while Janus was the poster-child fund of the Internet investing craze of the 1990s, it was owned by an old-fashioned railroad company, Kansas City Southern Industries (KCSI). Janus Capital Corp. was founded by Thomas Bailey in 1969 in Denver. During the 1960s, creating industrial conglomerates was all the rage, and KCSI diversified into financial companies, acquiring an 82% stake in Janus in 1984.⁶⁶ Under Bailey, Janus grew fast, but its rise became meteoric after he promoted James Craig to manage the flagship Janus Fund in 1986. Janus's rise to stardom in the 1990s was due to Craig, Jack Thompson (the COO), and Tom Marisco. Marisco managed the Janus Twenty Fund and left in 1997 to found his own firm after run-ins ("philosophical disagreements") with Bailey.⁶⁷

In 2000, KCSI spun out Stilwell Financial, which was named after one of KCSI's founders. Stilwell consisted of Janus, which had 97% of its total AUM, plus three smaller investment management businesses. Craig left the firm in August 1999, prior to the spinoff. The stated reason was to create Opportunity Capital, a management company serving his wife's charitable trust foundation, but rumors were that his resignation was prompted by the forthcoming spinoff. The creation of Stilwell was marked by bitter battles between Janus and KCSI, where Janus felt slighted that it was being lumped with lesser-known and smaller asset management companies in the holding company. Craig's timing was impeccable: he cashed in his \$70 million equity stake in Janus right before the dot-com meltdown.⁶⁸

By this time Bailey was not involved in running the firm's day-to-day operations, although he retained his large ownership stake. Bailey developed a reputation as "fun-loving," "sleazy," "was into marijuana and cocaine," and had employees cover for him with his wife (they later divorced) when he was meeting other women.⁶⁹ The terms of his sale to KCSI stipulated that Bailey had the right to sell his remaining shares at fifteen times Janus's after-tax earnings per share. Janus was also required to pay out 90% of its profits in the form of dividends. Owning 12.2% of Janus brought Bailey riches. In 1999 alone, the dividends paid by Janus gave Bailey \$25 million.

⁶⁶ In the finance literature, diversified companies tend to have lower returns than predicted if the company were split into a portfolio of specialized firms. This is called the *diversification discount*. See Lang and Stulz (1994) and Villalonga (2004). The history of Janus is drawn from Elkind, P., 2001, "The Hidden Face of Janus," *Fortune*, Jan. 22, 2001, and Goldberg, S. T., "Upheaval at Janus," *Kiplinger*, June 2003.

⁶⁷ Marisco ended up selling his own asset management firm to Bank of America, which paid \$150 million in 1998 for half the firm and \$950 million for the other half two years later. Marisco netted half a billion for himself in the transaction. In 2007, Marisco bought back his firm from Bank of America on undisclosed terms. See Stempel, J., 2007, "Marisco Buys Itself Bank from Bank of America," *Reuters*, June 14, 2007.

⁶⁸ *Forbes*, "Stock Picking Without the Taxes," Oct. 30, 2000.

⁶⁹ See Elkind, P., 2001, "The Hidden Face of Janus," *Fortune*, Jan. 22, 2001.